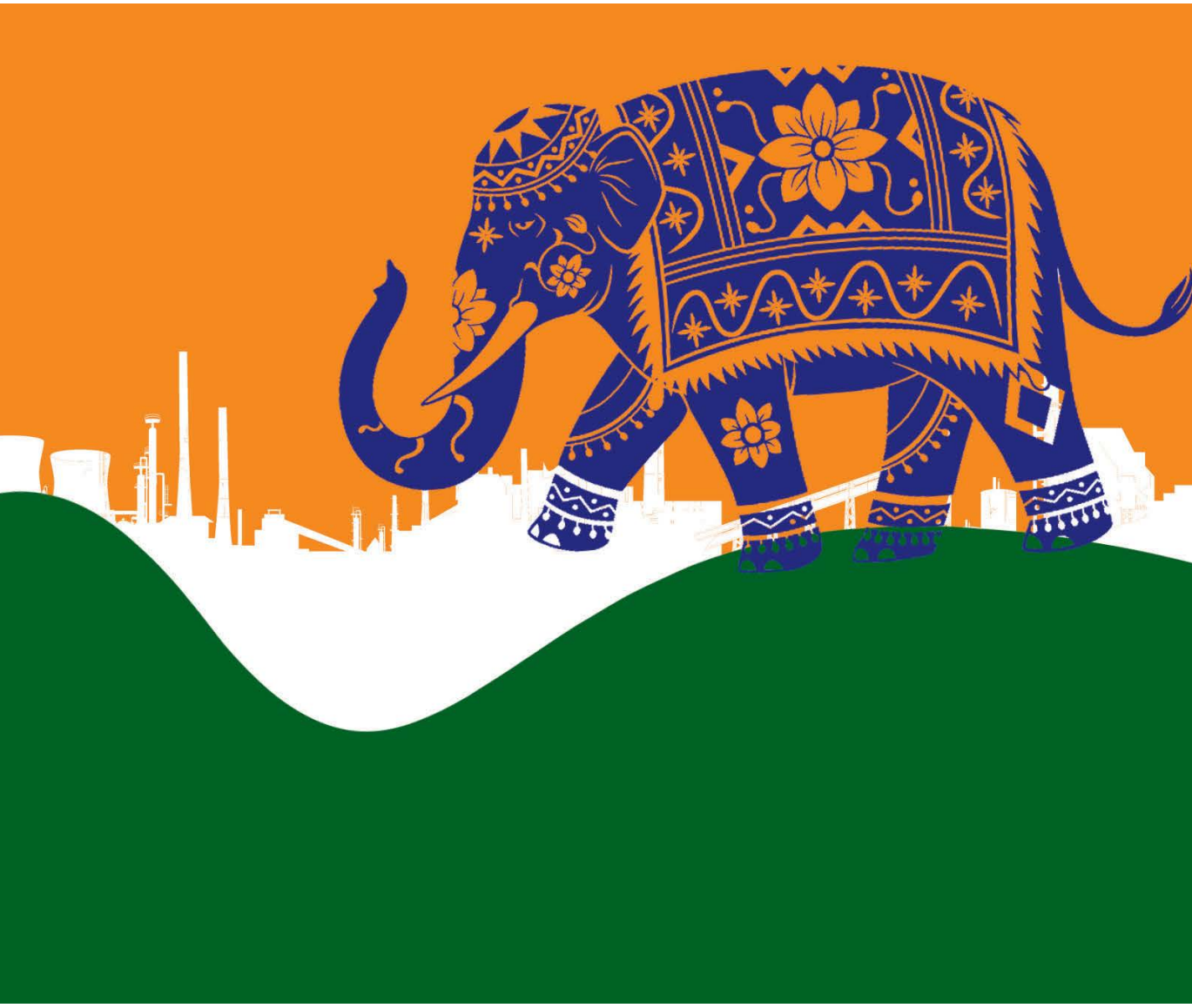


Illustration by **NILANJAN DAS**

storage and defence manufacturing, as well as in the manufacturing of inputs for housing construction, like steel and cement, should also sustain investment activity for a few years.

However, for the economic momentum to sustain, structural reforms must continue. The return of the Trump presidency in the US has reopened the window for India to take advantage of the 'China + 1' opportunity—targeting major global buyers in coordination with state governments that can provide land and permissions quickly can help.

A renewed push to better manage urbanisation is critical—underfunded and poorly administered cities cannot expand to meet the needs of a growing economy. Weak urban infrastructure is likely to slow the supply response in real estate, potentially driving an early end to the real-estate cycle, which is at the heart of any subcontinent-sized economy like India. The best real-estate cycle from an economic perspective is volume-led instead of price-led.

Policymakers must also proactively target three major challenges for sustaining growth over the medium term. The first is income inequality—at this stage of economic development, labour is in surplus and capital in shortage, reducing the labour share of income, and thus accentuating income inequality. Left unaddressed, this can reduce popular support for reforms. Second, ensuring universal high-school enrolment and early-childhood health even while they were lower-middle-income economies was how countries like Taiwan and South Korea broke through the middle-income trap, whereas several other economies got caught in it. Third, for strategic autonomy as well as sustaining growth, India must move decisively towards becoming a 'product nation', creating an ecosystem where firms develop and own technologies and brands, and dominate their respective industries globally. ■

Neelkanth Mishra *is chief economist at Axis Bank*